www.aib-axysafrica.com
research@aib-axysafrica.com

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EQUITY Kenya Q3 Earnings Note

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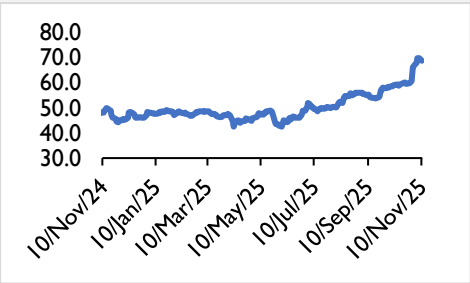
P.O. Box 43676-00100 Nairobi, Kenya | E: info@aib-axysafrica.com W: aib-axysafrica.com | DL: 0711047000, T: +254-20-7602550

Equity Group Holdings Q3'25 Earnings Note

11th November 2025

Ticker Information	
NSE Code:	EQTY
Issued Shares (Bn):	3.77
52-week high:	KES 70.75
52-week low:	KES 33.70

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	16.53%	32.21%	45.04%	42.93%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 67.25	KES 76.56

Summary

Equity Group Holdings posted a stellar 32.2% y/y rise in PAT to KES 52.12Bn in Q3'2025, indicating disciplined execution and strong recovery across its core markets. Performance was driven by Kenya's 51.4% PAT rebound, sustained regional momentum (notably in DRC and Rwanda), and improved funding efficiency, which lowered the cost-to-income ratio to 50.6%. Management attributed the resilience to its fortress balance sheet, digital-led productivity, and the expanding tri-engine model of banking, insurance, and technology cementing Equity's position as a pan-African financial powerhouse.

Key Highlights

- **Earnings Performance:** Equity strong performance was driven by a 16.1%y/y rise in NII and a 10.3%y/y increase in total operating income to KES 156.27Bn. Earnings strength was underpinned by disciplined balance sheet management, lower funding costs (COF 3.7%), and improved efficiency as opex remained flat at KES 90.73Bn. Management attributed the robust outcome to strategic execution and revenue diversification, highlighting sustained margin gains and fee momentum as key profit levers. The Group's NIM rose to 7.4%, pointing to efficient asset deployment and deposit repricing. The result a cleaner, more resilient earnings base reinforces Equity's transformation momentum.
- **Diversification & Subsidiary Performance:** Regional subsidiaries anchored growth, contributing over 40.0% of Group profit and cementing Equity's pan-African positioning. The DRC unit remained the key earnings driver, buoyed by regulatory flexibility and strong balance sheet growth, while Uganda and Tanzania delivered double-digit profit gains on rising transaction volumes. Management noted that regional diversification continues to cushion the Group from Kenya's market cycles, with South Sudan's oil export recovery and expansions in Rwanda and Tanzania adding near-term upside.
- **Asset quality –** Gross non-performing loans surged to KES 129.17 Bn from KES 125.32 Bn, highlighting borrower distress. However, increased loan disbursements (to KES 859.82 Bn from KES 800.13 Bn) lowered the gross NPL ratio to 15.0% from 15.7%

Balance Sheet Dynamics

Equity Group's balance sheet remained resilient, with total assets increasing by 6.7%y/y to KES 1.82Tn in Q3'2025 from KES 1.70T in 2024, supported strong in loans and advances and as well as government securities. The loan book expanded by 7.5%y/y to KES 859.82Bn. On the liabilities side, customer deposits rose 2.2%y/y to KES 1.35Tn, underscoring sustained customer confidence and franchise depth. The loan-to-deposit ratio stood at 63.9%, showcasing efficient balance sheet deployment. Overall, Equity maintained robust liquidity and capital buffers, positioning the Group for continued regional growth and resilience amid improving operating conditions.

Operating Efficiency

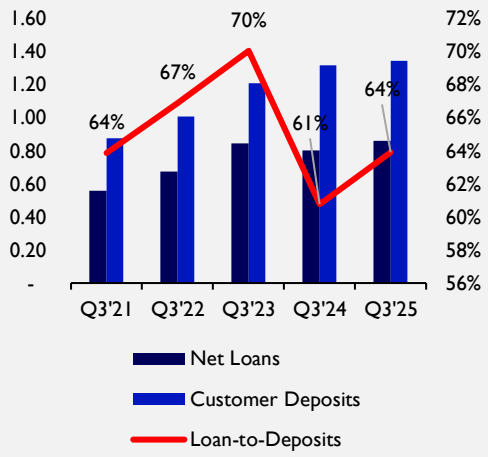
Efficiency gains remained evident, with the cost-to-income ratio improving to 58.0% (from 64.0%) as operating income rose faster than expenses. Excluding provisions, CIR stood at 50.6%, showcasing enhanced productivity and tighter cost discipline. Staff costs edged up on regional hiring and tech capacity expansion but were offset by stronger income growth.

Management attributed the gains to ongoing digital transformation, noting that technology investments from Equitel to enhanced data and AI capabilities have streamlined operations and lowered cost-to-serve.

Outlook

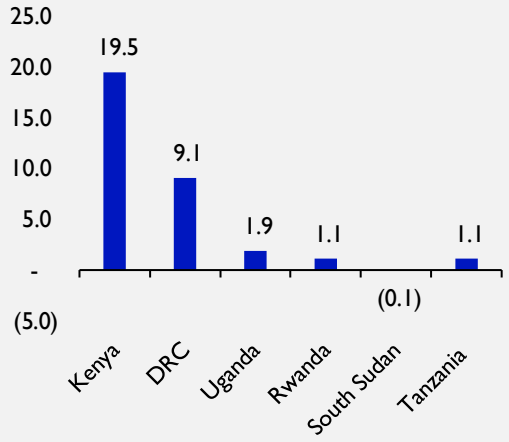
Equity Group enters the final quarter of FY'25 with strong earnings momentum, underpinned by regional diversification, disciplined cost management, and a robust balance sheet. Management reaffirmed confidence in sustained growth across subsidiaries particularly DRC, Uganda, and Tanzania as economic activity accelerates and regulatory conditions remain favorable. The Group's continued focus on technology, operational efficiency, and non-banking income streams positions it for resilient profitability amid moderating interest margins. With capital buffers well above prudential limits, Equity remains strategically placed to capture growth opportunities across its expanding regional footprint while delivering consistent shareholder value.

Chart 2: Faster Deposit Mobilization



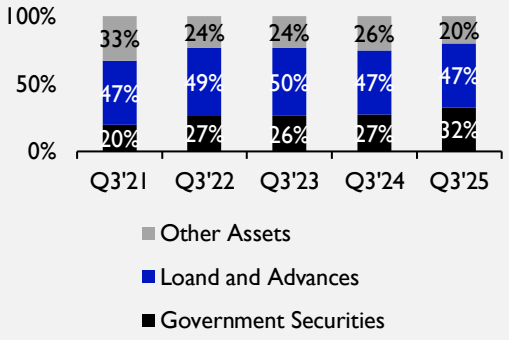
Source: Company filings, AIB-AXYS Research.

Chart 3: Profit After Tax Contribution (KES Bn)



Source: Company filings, AIB-AXYS Research.

Chart 4: Asset allocation



Source: Company filings, AIB-AXYS Research.

Recommendation

- **We maintain our *BUY* recommendation on Equity Group Holdings, supported by strong subsidiary performance and continued expansion across its non-banking business.** At the current market price, the stock is trading at P/E ratio of 4.9x and a P/B ratio of 0.8x. Our one-year target price for Equity Group Holdings currently stands at KES 76.56 - representing a c.13.8% upside potential from current levels.

Income Statement (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Net Interest Income	48.5	59.8	72.6	80.59	93.58	▲ 16.1%
Non-Interest Income	32.0	42.2	57.8	61.15	62.69	▲ 2.5%
Total Operating income	**80.5**	**102.1**	**130.4**	**141.74**	**156.27**	▲ 10.3%
Provision for Impairment	(5.1)	(9.7)	(19.0)	(12.68)	(11.64)	▼ (8.2%)
Total Operating expenses	(43.8)	(57.7)	(84.5)	(90.71)	(90.68)	▼ (0.0%)
Profit before tax	36.6	44.3	45.9	51.02	65.58	▲ 28.5%
Profit after tax	**26.3**	**33.4**	**34.6**	**39.29**	**52.12**	▲ 32.7%
Core EPS Annualized	9.31	11.78	12.22	13.88	18.41	▲ 32.7%

Balance Sheet (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Government Securities	233.2	366.5	445.2	468.14	590.12	▲ 26.1%
Loans and Advances	559.0	673.9	845.9	800.14	859.82	▲ 7.5%
Total Assets	**1,184.3**	**1,363.7**	**1,691.2**	**1,703.11**	**1,817.02**	▲ 6.7%
Customer Deposits	875.1	1,007.3	1,207.7	1,316.83	1,345.49	▲ 2.2%
Total Liabilities	1,020.9	1,209.7	1,497.9	1,476.07	1,513.79	▲ 2.6%
Total Equities and Liabilities	**1,184.3**	**1,363.7**	**1,691.2**	**1,703.11**	**1,817.02**	▲ 6.7%

Ratio Analysis	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Spreads Analysis						
Yield on Assets	9.6%	10.1%	11.2%	9.2%	11.1%	▲ 1.9%
Cost of Funds	2.8%	2.9%	3.7%	2.9%	3.7%	▲ 0.8%
Net Interest Margin	6.8%	7.2%	7.5%	6.3%	7.4%	▲ 1.1%
ROaE	21.7%	30.0%	27.6%	24.2%	23.4%	▼ (0.8%)
ROaA	3.0%	3.7%	3.1%	3.0%	3.5%	▲ 0.5%
Profit Margin	33.4%	33.7%	27.8%	28.9%	34.6%	▲ 5.7%
Operating Efficiency						
Cost to Income Less LLP	48.1%	47.1%	50.2%	55.1%	50.6%	▼ (4.5%)
Cost to Assets Less LLP	3.7%	3.8%	4.3%	4.6%	4.5%	▼ (0.1%)
Loan to Deposit	63.9%	66.9%	70.0%	60.8%	63.9%	▲ 3.1%
Asset Quality						
Gross NPL Ratio	10.1%	10.1%	14.7%	15.7%	15.0%	▼ (0.6%)
NPL Coverage	60.6%	63.0%	53.4%	78.0%	75.5%	▼ (2.4)
Cost of Risk	0.9%	1.4%	2.2%	1.6%	1.4%	▼ (0.2%)
Capital Adequacy						
Core Capital/TRWA	13.5%	16.1%	15.2%	15.9%	16.6%	▲ 0.7%
Total Capital /TRWA	16.8%	20.7%	19.2%	18.1%	18.3%	▲ 0.2%
Liquidity	59.3%	51.8%	49.7%	55.0%	61.0%	▲ 6.0%



CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Derivatives Trading

Email: Derivapplications@aib- axysafrica.com

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